

high returns, indicating strong reversal. Among the four subgroups, the contrarian loser subgroup shows the strongest reversal during the 13–24-month period.

5. Trend-Following Reversal Strategies

In this section, we introduce a new type of strategy that combines time series continuation and reversal, called the trend-following reversal strategy. Then, the risk exposure of trend-following reversal strategy is studied by employing multi-factor models.

5.1. A Decomposition of Trend-Following Strategies

To construct such a strategy, we use the same decomposition as in Section 4, namely realised winner, realised loser, contrarian winner, and contrarian loser subgroups, using a (j, h) scheme, where $j = 12$ and $h = \{1, 3, 6, 12\}$. The investment decision is made in the following month to avoid look-ahead bias. Trading signals are generated every month, so that the position sizes are rebalanced every month. To mimic a real world situation, we use a time-varying volatility scaling method to adjust the portfolio weights, following the work of Moskowitz et al. (2012). In this method, the weight for each individual instrument is inversely proportional to its realised ex-ante volatility.

The trend-following reversal strategy is a type of double-sorted strategy in which the trend-following ranking (j) is the first sort and the realised/unrealised profit (h) is the second sort.²¹ The trend-following reversal strategy maintains its tractability and requires no external information other than the price returns. It also makes more sense, as the first ranking period is the conventional trend-following look-back period, and the second ranking period is the trend-following holding period.

²¹There are numerous studies which employ and evaluate double-sorted momentum strategies. Lee and Swaminathan (2000), Sagi and Seasholes (2007), Fuertes et al. (2010), and Conrad and Yavuz (2017) combine momentum signals with other external variables such as term structure, firm-specific attributes, trading volume, and value/book-to-market ratios as the second criterion, while Bianchi et al. (2015) combine a long-term momentum ranking with a medium-term momentum ranking and find superior abnormal returns.